it was facing and the need to extend it financial assistance. Even while the report was being prepared, Ratan took steps to arrest further decline.

But the mill received no funds. As the situation was worsening at a fast pace, within seven days Ratan wrote to JRD again. This time he said bluntly that if the group was not keen to commit the required funds for its revival, it would be advisable to wind up Empress Mills. He opined: ‘Our inability to provide this [funding] will mean a far greater deterioration in the mill’s operations, in which case we should seriously consider the other alternative of letting the mill close down.’

Hoping that JRD would change his mind, Ratan continued with his efforts to shore up the company. He held extensive discussions with the managerial staff and appointed a new general manager. An action plan was also sent to JRD with a note, which said that the company would become profitable by October of the same year. In the meantime, Ratan’s strategies began bearing results. Within three years of his appointment, by 1980, the mill had ‘written off its accumulated losses and posted profits of Rs 1 crore’ and begun paying dividends.

The year 1984, however, turned out to be challenging for the textile industry as a whole. It was the year of ‘depressed market conditions’. The cost of cotton and other inputs was ‘abnormally high’. This, combined with the inability of the management to deal with the unfavourable conditions, led to a loss of Rs 5 crore for the year. The trend continued into 1985 and by June of that year, the mill had lost another Rs 2.5 crore.

But Ratan persisted. He appointed fresh talents at the managerial level and a new chief executive, V. Shenoy from TELCO, who was put in charge of operations. A. Siganporia was brought in as the finance controller. Ratan also prepared a rehabilitation plan. In the meantime, as an interim measure, he requested for the infusion of a sum of Rs 6–7 crore to enable the mill to continue its operations. The funds were to be raised internally by the group and through market borrowings. The Tata Sons board also approved the contribution of Rs 2.5 crore by the group for the rehabilitation programme and sanctioned the disbursal of the funds immediately.

On Ratan’s insistence, Tata Sons also agreed to pay out Rs 20 lakh urgently, and authorized him and Soonawala to begin the process. But the proposal for the release came unstuck as two members of the board, eminent lawyer Nani A. Palkhivala and Tata veteran Rustomji Homusji ‘Russi’ Mody, opposed it. Their justification was that the disbursal would